difference this time was that the promoters did not have the cash to prop up the stock price. More often than not, the promoters would have raised money by pledging shares, either from the stock they officially held, or from the stock held in *benami* accounts. Once the stock price came under pressure, margin calls from the lenders would follow. If promoters were unable to deposit additional collateral, the lenders would start dumping the shares, aggravating the slide in the stock price. The bears successfully deployed this tactic in many mid-cap stocks, and in a reversal of roles, they were the ones laughing all the way to the bank while the hapless promoters licked their wounds.

Not surprisingly then, companies wrote to the stock exchanges begging that their stocks be excluded from the F&O list. Even otherwise, many companies automatically found themselves out of the list once their market capitalization and trading volumes fell below a certain threshold.

During the bull run, many promoters had tried to increase their shareholding cheaply by issuing equity warrants to themselves at a predetermined price. The promoters had only to pay 10 per cent upfront; the rest they could pay at the time of conversion of the warrants to shares eighteen months later. Since the market was in an uptrend, the promoters were confident that they would be able to convert their warrants at a discounted market price eighteen months later.

But the share prices of many of these companies fell so sharply that by the time the warrants came up for conversion, the conversion price was way above the market price. It made no sense for the promoters to convert their warrants, and they allowed them to lapse, forfeiting the 10 per cent upfront payment. A year later, SEBI would hike the upfront payment for equity warrants to 25 per cent so that promoters did not try to short-change minority shareholders.